

Imagine that the first company uses Google AdWords to find new customers online and pays an average of 80 cents each time a new customer joins. The second company sells heavy goods to large companies. Each sale requires a significant time investment from a salesperson and on-site sales engineering to help install the product; these hard costs total up to \$80,000 per new customer. Both companies will grow at the exact same rate. Each has the same proportion of revenue (20 percent) available to reinvest in new customer acquisition. If either company wants to increase its rate of growth, it can do so in one of two ways: increase the revenue from each customer or drive down the cost of acquiring a new customer.

That's the paid engine of growth at work.

In relating the IMVU story in [Chapter 3](#), I talked about how we made a major early mistake in setting up the IMVU strategy. We ultimately wound up having to make an engine of growth pivot. We originally thought that our IM add-on strategy would allow the product to grow virally. Unfortunately, customers refused to go along with our brilliant strategy.

Our basic misconception was a belief that customers would be willing to use IMVU as an add-on to existing instant messaging networks. We believed that the product would spread virally through those networks, passed from customer to customer. The problem with that theory is that some kinds of products are not compatible with viral growth.

IMVU's customers didn't want to use the product with their existing friends. They wanted to use it to make new friends. Unfortunately, that meant they did not have a strong incentive to bring new customers to the product; they viewed that as our job. Fortunately, IMVU was able to grow by using paid advertising because our customers were willing to pay more for our product than it cost us to reach them via advertising.

Like the other engines, the paid engine of growth is powered by a feedback loop. Each customer pays a certain amount of money for the product over his or her "lifetime" as a customer. Once variable costs are deducted, this usually is called the customer lifetime value (LTV). This revenue can be invested in growth by buying